INSURANCE & PENSIONS COMMISSION

LIFE ASSURANCE SECTOR REPORT

FOR THE YEAR ENDED 31 DECEMBER 2020

HEAD OFFICE- 160 Rhodesville Ave, Greendale, Harare
COMPLAINTS HANDLING OFFICE- Kingstons House, Cnr Leopold Takawira/Kwame Nkrumah Avenue, Harare
COMPLAINTS HANDLING OFFICE- Office Number 18, Bulawayo Centre Cnr Joshua Nkomo Street & 9th Ave, Bulawayo

+263 (242) 443358/59/61| +263 (242) 443322
+263 772 154 281-4 | +263 (242) 444033

www.ipec.co.zw

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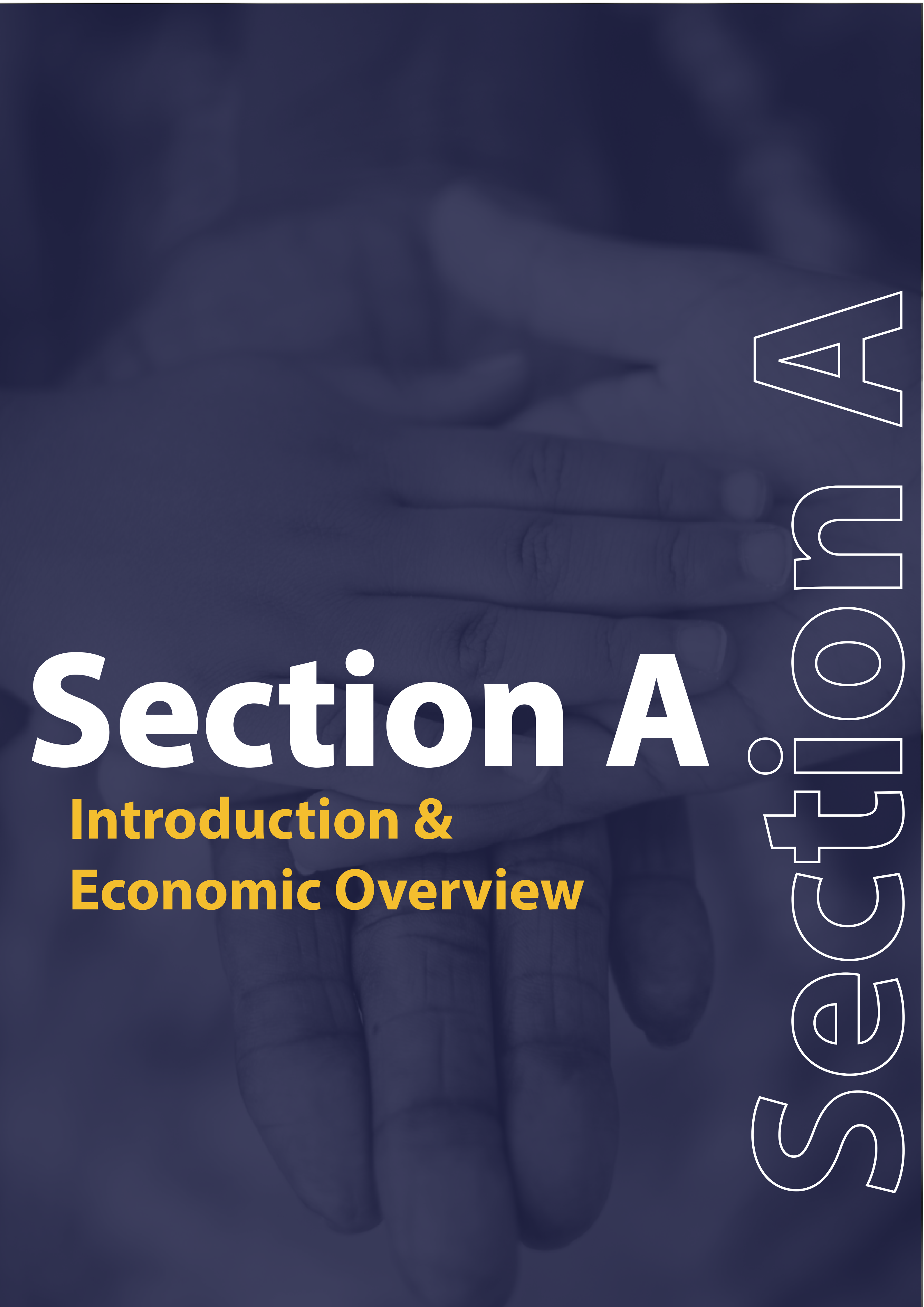


Section A

Introduction & Economic Overview

Section A

1. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines industry developments and IPEC's various activities in the life assurance industry consistent with its statutory mandate for the 12 months ended 31 December 2019.

Terms of Reference

The activities of the Commission are guided by the following acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23].

2. Economic Developments

2.1. 2020 Global and Regional Economic Outturn

Revised International Monetary Fund (IMF) estimate a global economic output decline of 3.5% in 2020, buttressed by stronger than expected recovery across all regions in the second half of the year. The World Bank (WB) projects a deeper contraction of 4.3% due to the effects of the pandemic. For advanced economies, the revised GDP estimate was -4.9%, an improvement from the October forecast of -5.8%. GDP growth for emerging markets and developing countries (EMDEs) is expected to contract by 2.4%. GDP growth forecast for Sub-Saharan Africa was revised upwards to 2% from an expected contraction of 3% in October 2020. However, the WB estimate the region to contract by 3.7% in 2020.

2.2. Global and Regional Economic Outlook

In light of Covid-19 developments, global economy is expected to grow by 5.5% in 2021(IMF), up from a 5.2% forecast in October 2020, amid renewed hope for recovery following approvals of the Covid-19 vaccines. The World Bank projects a lower growth of 4%. While strong fiscal, monetary and other policies towards households and firms in some countries are expected to boost recovery, the resurgence of the Corona virus and control measures being enforced in several economies are likely to offset some of the gains.

Sub-Saharan Africa GDP growth projection for 2021 is set at 3.2% as per the IMF forecast, while the World Bank set a conservative growth of 2.7%. SSA growth is expected to be undermined by risks such as weaker recovery than expected in trading partners, logistical hurdles that could affect vaccine distribution and slow-down productivity.

Table 1: World Economic Outlook Revised Projections (Percentage Change)

	2020	2021	2022
World Output	-3.5	5.5	4.2
Advanced Economies	-4.9	4.3	3.1
USA	-3.4	5.1	2.5
Euro Area	-7.2	4.2	3.6
Emerging Markets and Developing countries	-2.4	6.3	5
China	2.3	8.1	5.6
Sub-Saharan Africa	2	3.2	3.9
Nigeria	-3.2	1.5	2.5
South Africa	-7.5	2.8	1.4

Source: IMF Economic Outlook, Projections

Domestic Macroeconomic Outturn

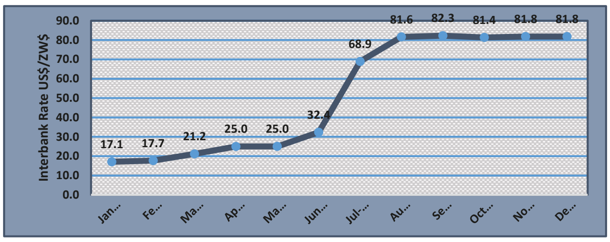
The country experienced another recession in 2020, with GDP expected to contract by 4.1% from -6.1% in 2019.

Significant output declines were in agriculture, mining, manufacturing, tourism and electricity generation, owing to the effects of the 2019 drought, cyclone and Covid-19 pandemic.

2.4. Exchange Rate Developments

The exchange rate depreciated from US$1:ZW$17.10 in January 2020 to U$1:ZW$81.80 in December 2020. It was largely stable in the quarter under review owing to the foreign exchange auction system, as it depreciated slightly to US$1:ZW$81.8 from US$1:ZW$81.4 at the end of October 2020. While the availability of foreign exchange has been improving, with a total of US$29.58 million allotted on the 21st December 2020 compared to US$27.85 million on the 27th October 2020 (RBZ), not all interested bidders were able to access the needed funds as some failed to satisfy the auction system requirements. Bidders were disqualified for ineligibility in terms of the priority list, insufficient foreign currency account balances, overdue CD1 and outstanding bills of entry.

Figure 1: Inter-bank Exchange Rate January to December 2020 (US$:ZW$) - End of Period

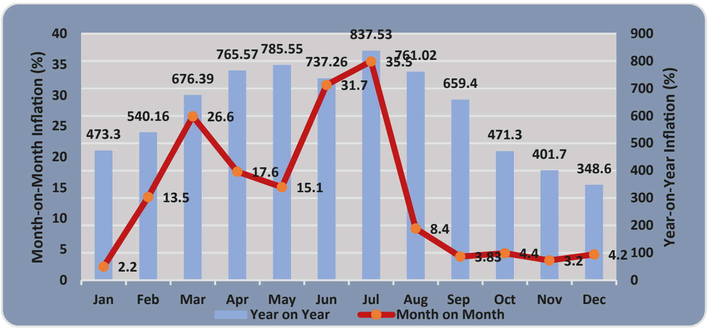


Source: Reserve Bank of Zimbabwe

2.5. Inflation Developments

Inflation continued on a downward trend in the second half of 2020 due to fiscal consolidation, coupled with monetary stabilisation measures, which have brought about some stability in the pricing of goods and services. The annual inflation rate declined from a peak of 837.53% in July to 348.6% in December 2020, driven by non-food items. Month-on-month inflation rate declined from 35.5% in July to 3.2% in November before a slight increase to close the quarter at 4.2% as shown in Figure 2.

Figure 2: Month-on-Month Inflation 2020 and Year on Year Inflation 2020 (percent)



Source: ZIMSTAT

Annual blended CPI inflation has been on a declining trend from 249.63% in October 2020 to 186.91% in December 2020. Monthly blended CPI inflation rate, however, has been on an upward trend, from 1.43% in October, to 2.25% and 2.75% in November and December, respectively.

The reduction in inflation rate is a welcome development for the industry, particularly for fixed income earners such as pensioners and policyholders, as it allows for some preservation of value of their pay-outs or claims. However, given that inflation figures are still in the positive territory, prices are still increasing though at a decreasing rate.

2.6 Macroeconomic Outlook

The National Development Strategy 1 Macroeconomic Framework projects the economy to rebound by 7.4% in 2021. The growth forecast is expected on the back of recovery in the global economy from Covid-19, stable macroeconomic environment, a predictable policy environment and investor confidence. While the good rainy season provides positive recovery prospects, the uncertainties around Covid-19 may undermine the projection. Strong policy support as well as concerted efforts by all stakeholders towards the economic recovery process is of paramount importance. Public-private partnerships should be encouraged.

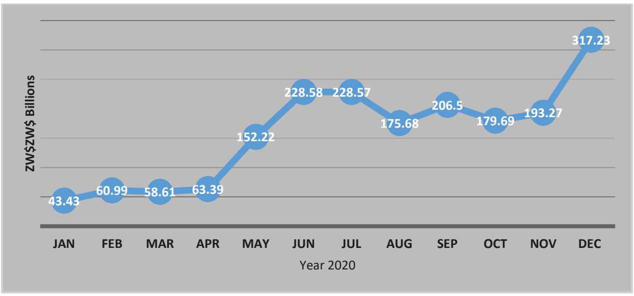
The economy is expected to continue experiencing a gradual decline in inflation in 2021 from 362.6% annual inflation in December 2020 to single digit levels (below 10%) by December 2021, supported by a targeted month-on-month inflation of less than 3%.

2.7. Investment Performance

Zimbabwe Stock Exchange Developments

The All Share and Top Ten indices grew by 1,046% and 733% respectively during the year ended 31 December 2020. Equity turnover grew by 754% from 2019 and market capitalisation surged by 968%. The trajectory of market capitalisation during the year is as shown in Figure 3.

Figure 3: Daily Market Capitalisation in ZW$ Billions



Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX)

SeedCo International remains the only trading counter on VFEX. As at 30 November 2020, market capitalisation was US$43.40 million. The continued delay in lifting suspension of trades on Old Mutual and PPC shares is a major concern for the industry, as asset values of pension fund members and policyholders currently tied in the two counters cannot objectively be valued or liquidated.

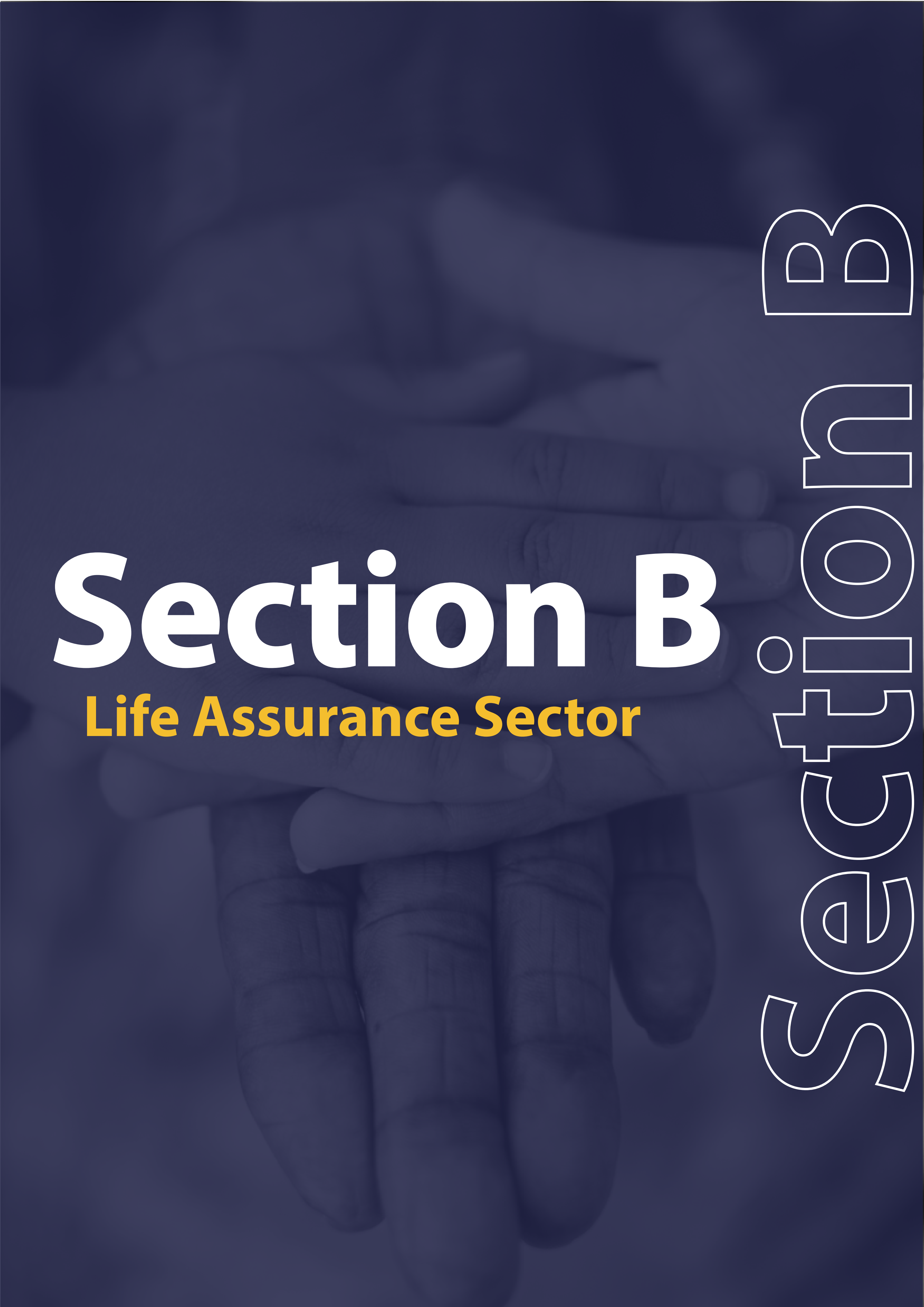
Savings and Deposit Interest Rates

Real interest rates remained negative in 2020, given the high rates of annual inflation which ended the year at 348.6% against nominal interest below 20%. Nominal savings deposit rates remained unchanged for the second half of 2020, ranging between 2.35% and 5.19%. Some minor improvements were recorded in One-month and Three-month deposit rates. One-month nominal deposit rates improved from a maximum of 8.28% end of October 2020 to 8.57% at mid-November 2020, while three-month deposit rates also marginally improved from a maximum of 8.69% to 8.71% during the same period.

2.8. Covid-19 Update

The total number of confirmed Covid-19 cases recorded globally since the onset of the pandemic exceeded 79.2 million, with over 1.7 million deaths as at 27 December 2020. There is increased uncertainty and concern over the mutation of Sars-Cov-2 virus following 2 variants detected in South Africa and Britain in December 2020. It remains uncertain whether the variants will undermine the effectiveness of the approved vaccines.

Mandatory lockdowns due to Covid-19 disrupted business operations and income streams during the year. Effects of the pandemic have exacerbated the problem of policy lapses, and delayed payment of pensions contributions, premiums and benefits/claims. The new normal also brought about additional operating costs for insurers and pension funds, as they sought to capacitate staff to work remotely.



Section B

Life Assurance Sector

Section B

3. Executive Summary

3.1 For the financial year ended 31 December 2020, the life assurance sector was made up of 12 direct life assurance companies, 4 composite reassurance companies and 1, 325 agents.

3.2 Gross premium written (GPW) by direct life assurance companies for the financial year ended 31 December 2020 stood at ZW$3.65 billion, representing a nominal increase of 512% from ZW$596.93 million reported in the comparative period in 2019.

3.3 The increase in GPW for the reporting period was mainly due to significant increase in premiums from funeral assurance and group life assurance classes. Growth in GPW in the above-mentioned classes was mainly driven by premium increases in these classes of business.

3.4 Inflation adjusted GPW for direct life assurers was ZW$814 million showing a growth of 36.36%, indicating real growth in premium, above the year-on-year inflation which stood at 348.6% for December 2020.

3.5 GPW for life reassurers grew by 690.68% from ZW$22.16 million reported for the year ended December 2019 to ZW$153.08 million for the year ended 31 December 2020.

3.6 On inflation adjusted basis, the GPW for direct life reassurers experienced a growth of 53.96% to ZW$34.13 million for the financial year ended 31 December 2020.

3.7. For the year ended 31 December 2020 the Life Assurance industry reported foreign currency denominated business amounting to USD952, 000. The whole amount was from funeral assurance business written by two (2) life assurers (see table 4).

3.8 For the financial year ended 31 December 2020, ten (10) out of twelve (12) life assurance companies and all four (4) composite reassurance companies reported capital positions which were in compliance with the prescribed minimum capital requirements of ZW$75 million and ZW$112.5 million respectively.

3.9 Non-compliant players are encouraged recapitalise their companies so that they hold adequate capital.

3.10 As at 31 December 2020, direct life assurers reported assets amounting to ZW$32.60 billion, indicating a growth of 50.78% from ZW$21.6 billion as at 30 September 2020.

3.11 Growth in assets was mainly attributable to increase in the value of fixed property and equity investments.

3.12 The asset base for composite reassurers grew by 20.28% from ZW$1.08 billion as at 30 September 2020 to ZW$1.23 billion as at 31 December 2020.

3.13 As at 31 December 2020, the average prescribed ratio for life assurers and life reassurers stood at 2.43% and 3.28% respectively.

3.14. All direct life assurance companies and life reassurance companies were non-compliant with the minimum prescribed asset ratio of 15%.

3.15. In terms of profitability the life assurance sector reported nominal profit after tax of ZW$11.35 billion for the year ended 31 December 2020, up from a profit of ZW$6.67 billion reported in the year ended 31 December 2019.

3.16 The after-tax profit for life reassurers in real terms grew by 296.31% from ZW$12.2 million reported for the year ended 31 December 2019 to ZW$35.28 million for the year ended 31 December 2020.

3.17 The increase in profit after tax for both the life assurance sector and the life reassurance sector is mainly attributable to high investment returns from revaluation gains on equity investments. Table 1 below shows the summary of key financial indicators.

Table 2: Summary of key financial indicators.

	Life Assurance				Life Reassurers			
Financial aspect	Dec-19	Dec-20	Dec-20 Inflation adjusted	Growth (Inflation adjusted)	Dec-19	Dec-20	Dec-20 Inflation adjusted	Growth (Inflation adjusted)
GWP (ZW$000)*	596,930	3,651,581	813,995	36.36%	22,164	153,083	34,125	53.96%
NWP (ZW$000)	586,946	3,564,050	794,483	35.36%	15,714	111,326	24,816	57.93%
Claims (ZW$000)	250,754	1,340,058	298,020	18.85%	4,884	69,233	15,433	316.99%
Management operating expenses (ZW$000)	142,517	682,995	152,250	6.83%	5,545	41,522	9,255	66.91%
Commissions (ZW$000)	20,655	146,818	32,728	58.45%	3,633	20,303	4,526	24.58%
Technical costs (ZW$000)	413,926	2,169,871	482,998	16.69%	14,062	131,058	29,214	207.52%
Profit after tax (ZW$000)	6,672,446	11,354,136	2,351,016	-61.73%	12,196	158,285	35,284	296.31%
Financial aspect	Sept -20	Dec-20	Growth %		Sept -20	Dec -20	Growth	
Total Assets (ZW$000)*	21,620,097	32,599,565	50.78%		1,078,548	1,297,297	20.28%	
Total Liabilities (ZW$000)	10,220,159	15,573,800	52.38%		523,235	666,377	29.63%	
Capital (ZW$000)	10,161,784	17,025,655	67.55%		555,313	630,920	13.62%	
Capital to liability ratio	19.89%	109.32%	89.43%		161.13%	94.68%	-66.45	
Prescribed assets (ZW$000)	1,139,031	752,772	-31.89%		17,177	42,598	247.99%	
Prescribed assets ratio %	5.27%	2.43%	7.99%		1.59%	3.28%	1.69%	

***Assets figure excludes assets related to insured funds.**

4. Sector Architecture

4.1 As at 31 December 2020, the life assurance sector was made up of 12 direct life assurance companies, 4 composite reinsurance companies and 1,325 agents.

4.2 Agents for the industry can be further divided into 24 corporate agents and 1,301 individual agents.

4.3 All players are required to register their agents in terms of the Insurance Act [Chapter: 24:07] before they start transacting insurance business.

Table 3: Life insurers' agents' statistics as at 31 December 2020

LIFE ASSURANCE INDUSTRY STRUCTURE								
Name of Company	Corporate Agents		Sole Agents		Staff		Branches	
	Dec-19	Dec-20	Dec-19	Dec-20	Dec-19	Dec-20	Dec-19	Dec-20
CBZ Life	3	3	49	30	46	49	2	5
Doves Life	0	0	95	120	92	77	26	26
Econet Life	0	0	0	0	21	21	1	1
Evolution Health and Life	0	0	0	0	30	28	11	7
Fidelity Life	0	0	0	46	76	76	7	7
First Mutual Life	0	0	0	220	182	154	9	9
Nhaka Life	1	1	59	11	10	9	7	4
Heritage Life	0	0	21	11	19	13	3	3
Nyaradzo Life	7	7	302	313	1122	1032	47	47
Old Mutual Life	13	13	200	177	226	372	2	2
ZB Life	0	0	165	153	57	59	21	7
Zimnat Life	0	0	252	220	86	104	5	5
Total	**24**	**24**	**1143**	**1301**	**1967**	**1994**	**141**	**123**

4.4 The number of agents for the life assurance sector increased by 158 agents from 1,167 reported as at 31 December 2019 to 1,325 reported as at 31 December 2020.

4.5 The increase may be attributable to the need for life assurance companies to have a wider distribution network to counter the downside effects of the Covid 19 business restrictions.

5. Performance in terms of Gross Written Premium

5.1 For the year ended 31 December 2020, Gross Premium Written (GPW) by direct life assurers from traditional life assurance business, excluding pension business grew by 512% in nominal terms from ZW$596.93 million reported as at 31 December 2019 to ZW$3.65 billion for the current reporting period.

5.2 The main drivers of nominal growth in GPW for the year ended 31 December 2020 were funeral assurance business and group life assurance, posting nominal growth rates of 436% and 1,174% respectively indicating growth in absolute figures of ZW$1.97 billion and ZW$0.99 billion respectively.

5.3 Growth in these two classes can be attributed to a significant increase in premiums for funeral assurance and related products as the industry tries to cope with Covid 19 induced increase in mortality rates.

5.4 On inflation-adjusted basis, the growth in GPW for the life assurance sector was 36.36% above the year-on-year inflation of 348.6%, indicating real growth of premiums.

5.5 The Commission has of late taken note of an increase in applications by life assurance companies for approval of short-term life assurance products. This is mainly in response to the obtaining business environment which makes it difficult to offer longer-term products due to challenges in forecasting for the longer term.

5.6 The Commission continues to underscore the need for life assurers keep abreast with changes in both the business environment and client risk exposures to continuously develop relevant products that meet clients' needs.

5.7 The table below shows the growth in business written by product line.

Table 4: Business composition by product line

	2019 Q4 (ZW$000)	2020 Q4 (ZW$000)	2020 Q4 (Inflation adjusted ZW$000)	Real Growth after inflation adjustment	2020 Q4 USD Business	Nominal Growth (%)
Annuities	23,336	-	-	-100%	-	-100%
Term Insurance	14,092	96,964	21,596	53%	-	588%
Endowment	7,262	30,261	6,740	-7%	-	317%
Pure Endowment	3,391	10,358	2,307	-32%	-	205%
Whole Life	11,815	12,458	2,775	-77%	-	5%
Funeral	452,692	2,427,310	540,604	19%	952	436%
Other/GLA	84,342	1,074,230	239,249	184%	-	1174%
Totals	**596,930**	**3,654,168**	**813,995**	**36.36%**	**952**	**512%**

5.8 On breakdown of business by source, the life assurance sector's GPW for the year ended 31 December 2020 was skewed towards recurring business, which accounted for 94.5% of total business written, while new business accounted for the remaining 5.5%.

5.9 Currency changes and high to moderate inflation experienced in 2020 resulted in low confidence in life assurance products by the general populace, as fears of a second episode of loss of value heightened, and this impacted on new business uptake.

5.10 In a bid to minimise the impact of currency induced loss of value, the Commission has put in place a revaluation guideline, which requires life assurance companies to revalue their liability in line with the increases in assets supporting such liabilities.

Breakdown by Product

5.11 The current Covid-19 pandemic has given impetus to the dominance of funeral assurance products in the life assurance product lines, as the increase in mortality risk has resulted in most people seeking to have funeral cover.

5.12 Furthermore, funeral assurance products have always been the preferred over life assurance cover due to the products' ability to offer tangible benefits that are defined at inception of the policy.

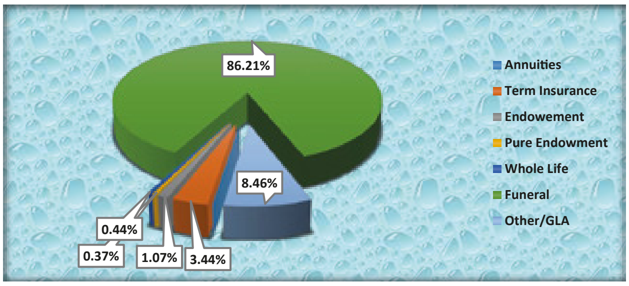
5.13 In terms of business composition, 95% of the total Gross Premium Written from traditional life assurance products was generated from funeral assurance business and group life assurance business.

5.14 Fund business was totally excluded from this report, as it is pension business, and will only be reported in the pensions report going forward.

5.15 There is need for players to be continuously innovative in aligning their traditional life assurance products to the macroeconomic environment and evolving policyholder needs to remain relevant.

5.16 Covid 19 related challenges have underscored the need for life assurance companies to have stress proofed disaster recovery plans and robust online distribution channels for them to remain relevant.

Figure 4: Breakdown of GPW by product



Not taken up (NTU) policies

5.17 For the financial year ended 31 December 2020, the life assurance sector reported a total of 139,288 Not Taken Up (NTU) policies with a total nominal gross premium written of ZW$53.85 million.

5.18 From the information above, it can be noted that, the premium lost on Not Taken Up (NTU) policies is not significant, considering GPW of ZW$3.65 billion reported in the current reporting period (31 December 2020).

5.19 Most of the policies have not been taken up maybe because of the inability of some policyholders to honour their premium payments due to Covid 19 challenges, which resulted in a general decrease in disposable incomes.

Table 5: Not taken up policies.

Company	Number of Policies	Nominal Gross Premium $(000)
CBZ	112	19
Doves**	-	-
Econet	124,635	26,547
Evolution	-	-
Fidelity	26	25
First Mutual	9,981	6,402
Nhaka	-	-
Heritage	1	-
Nyaradzo	-	-
Old Mutual	180	19,821
ZB	598	34
Zimnat	3,755	998
Total	**139,288**	**53,846**

Lapsable and lapsed policies

5.20 For the financial year ended 31 December 2020, the life assurance sector had a total of 2.38 million lapsable policies, out of which 440,862 policies lapsed, translating into a lapse ratio of 18.51%.

5.21 The abnormally high lapse ratio of 18.51% maybe attributable to a general decline in the disposable incomes because of Covid 19 induced lockdowns and restrictions.

Table 6: Lapse ratios

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporate)	Lapsed Policies (Others)	Lapse Ratio
CBZ	62,324	2,347	-	-	**3.77%**
Doves**	-	-	-	-	**0.00%**
Econet	1,283,307	361,131		-	**28.14%**
Evolution	-	-		-	**0.00%**
Fidelity	109	57		-	**52.29%**
First Mutual	122,778	23,741		-	**19.34%**
Nhaka	17,843	416	49	-	**2.61%**
Heritage	2,394	52	-	-	**2.17%**
Nyaradzo	727,561	41,001	4,317	-	**6.23%**
Old Mutual	84,665	2,688	-	-	**3.17%**
ZB	17,124	1,354		-	**7.91%**
Zimnat	63,470	3,709	-	-	**5.84%**
Total	**2,381,575**	**436,496**	**4,366**	**-**	**18.51%**

6. Capitalisation

6.1 As at 31 December 2020, ten (10) out of 12 primary life assurers reported capital positions that were compliant with the MCR of ZW$75 million (see table below).

6.2 The non-compliant entities are being closely monitored by the Commission to ensure that they return to compliance in the shortest possible time.

6.3 Adequate capitalisation is crucial as it ensures safety of policyholders' funds especially during times of stress as the one being currently experienced.

Table 7: Capitalisation of the sector

Company	2019 Q4	2020 Q4
CBZ	106,337	417,540
Doves**	51,705	367,044
Econet	79,928	587,744
Evolution	49,203	39,796
Fidelity	5,917	1,206,476
First Mutual	818,410	1,643,952
Nhaka	11,271	102,141
Heritage	1,047	1,431
Nyaradzo	61,509	2,730,547
Old Mutual	949,027	7,673,222
ZB	253,396	1,776,768
Zimnat	117,348	478,994
Total	**2,505,098**	**17,025,655**

6.4 The Commission continues to remind life assurance companies that it is a statutory requirement that they should continuously carry out self-assessments for minimum capital compliance in line with the provisions of Statutory Instrument 95 of 2017.

6.5 The Commission is pleased to report that the process of developing the risk-based capital framework called Zimbabwe Integrated Capital and Risk Programme (ZICARP), is now at an advanced stage, with implementation expected in the second quarter of this year 2021.

6.6 The Commission therefore encourages life assurance sector players to fully participate in the consultations by the Commission and in the dry runs that are currently being carried out, as this is an important phase that allows for development of a robust framework.

7. Asset quality

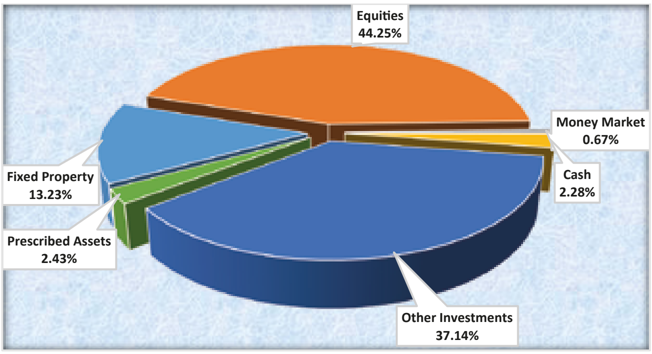
7.1 As at 31 December 2020, the Life Assurance sector reported total assets amounting to ZW$32.6 billion, representing an increase of 50.78% from of ZW$21.6 billion reported for the sector as at 30 September 2020.

7.2 The growth in the asset base of the Life Assurance sector was mainly driven by increases in fixed property and equity investments on account of revaluation and unrealised gains.

7.3 The values of equity investments increased by a nominal amount of ZW$4.33 billion from ZW$9.81 billion as at 30 September 2020. The increase was mainly due to the recovery of the stock market after having been depressed by the suspension of the Zimbabwe Stock Exchange in June 2020.

7.4 Equity investments constituted almost half of the sector's assets at 44.25% of the total assets.

7.5 Sector players should ensure that they hold assets that match their liability maturity profile to eliminate funding gaps, which may be costly in terms of both asset liquidation costs and reputation.



Prescribed Assets

7.6 Funds mobilised from prescribed asset investments are important for funding infrastructure developments and other projects of national importance.

7.7 As at 31 December 2020, all the twelve (12) life assurance players reported prescribed asset ratios that were below the minimum required threshold of 15%.

7.8 The total investments in prescribed assets by the life assurance sector amounted to ZW$775.77 million translating to an industry average compliance ratio of 2.43%.

7.9 Non-compliance with prescribed assets by the sector has continuously deteriorated because of a significant appreciation of non-prescribed asset investments held by sector as compared to prescribed assets whose value has largely remained constant.

7.10 The Commission, in consultation with the industry recently reviewed the prescribed asset framework to widen the assets recognised for prescribed asset purposes in line with the National Development Strategy 1 (NDS 1) by including private projects and taking into cognisance industry needs to ensure preservation of investor and policyholder funds. The Commission has also called upon the industry to come up with projects that can be accorded prescribed asset status as a way of improving their compliance.

7.11 The Commission has put in place a working group, comprising of IPEC and industry representatives to look into improving compliance with Prescribed Assets.

8. Reassurance

8.1 For the financial year ended 31 December 2020, direct life assurers wrote life assurance business amounting to ZW$3.65 billion. Of this business, ZW$87.53 million was ceded translating to a reassurance ratio of 2.4%.

8.2 The Commission continues to urge life assurers to take out more reassurance cover as a risk management tool to protect their balance sheets in times of increased claims experience.

9. Earnings

9.1 For the financial year ended 31 December 2020, profit after tax for life assurers increased by 71.32% from ZW$6.63 billion reported as at 31 December 2019 to ZW$11.35 billion for the current reporting period.

9.2 The main driver of profit for the sector was the significant increase in unrealised gains from equity investments by ZW$11.57 billion for the year ended 31 December 2020 from ZW$11.59 billion in 2019.

9.3 The combined ratio for the life assurance sector increased from 85% for financial year ended 31 December 2019 to 135%, indicating an underwriting loss for the period under review (See annexure 1).

9.4 In nominal terms, underwriting profit for the sector decreased by 717% from ZW$204.54 million reported as at 31 December 2019 to a negative ZW$1.28 billion as at 31 December 2020.

9.5 The decrease in underwriting profit was mainly attributable to significant increase in claims incurred from ZW$253.46 million for the year ended 31 December 2019 to ZW$3.99 billion for the year ended 31 December 2020.

9.6 The spike in incurred claims for the period under review was mainly due to increased policy values and an increase in mortality attributable to Covid-19.

10. Liquidity

10.1 As at 31 December 2020, the life assurance industry reported total current assets amounting to ZW$3.84 billion as compared to ZW$2.94 billion reported as at 30 September 2020.

10.2 Current liabilities amounted to ZW$552.36 million for the financial year ended 31 December 2020 resulting in working capital of ZW$2.22 billion.

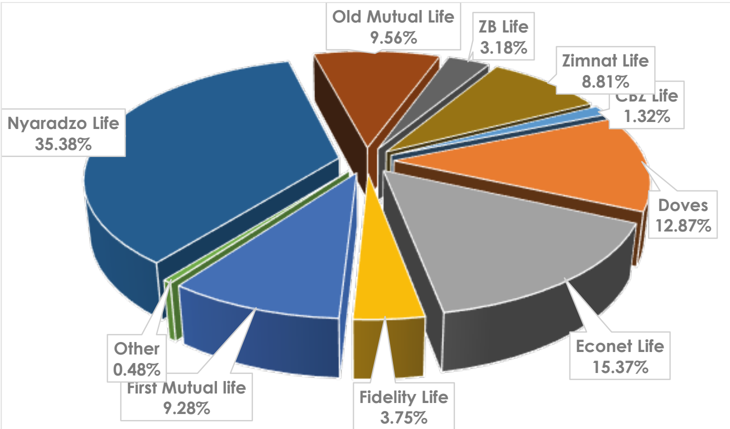
10.3 The life assurance sector's average current ratio was 326% as at 31 December 2020 indicating sufficient liquidity to cover short-term contractual obligations.

11. Market share

For the financial year 31 December 2020, one life assurance company dominated the life assurance sector in terms of GPW with a market share of 35.38% while the remaining players shared the remaining 64.62%.

11.2 Figure 4 below shows the market share distribution for the life assurance sector in terms of GPW.

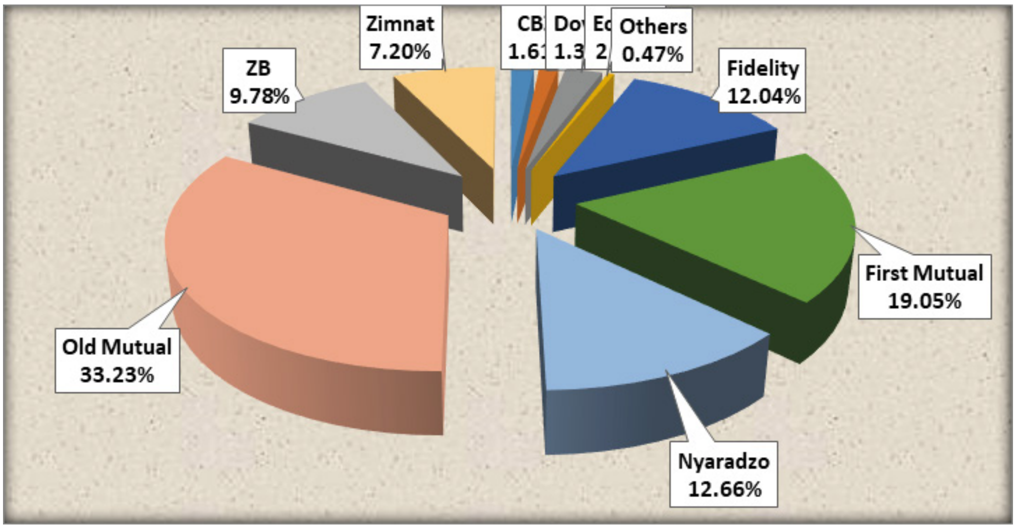
Figure 6: Market Share in terms of GPW



Other comprises Evolution Life, Heritage Life and Nhaka Life

11.3 In terms of market share by assets, two players dominated the sector, with a combined market share of 52%, while the remaining players shared the remaining 48%. Figure below shows the distribution of assets by entity.

Figure 7: Market Share in terms of Total Assets



Other comprises Evolution Life, Heritage Life and Nhaka Life

Section B

Life Reassurance Business

Section B

Nature of the reassurance business

While all reassurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business except for their capital positions, which comprise both life and non-life business.

The figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office. Zep Reinsurance Company's Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

12. Performance in terms of Business Written.

12.1 The volume of life reassurance business written, in terms of Gross Premium Written (GPW), increased by 94% from ZW$78.8 million reported for the financial year ended 31 December 2019 to ZW$153.1 million for the year ended 31 December 2020.

12.2 In real terms, the sector experienced a negative growth of 57% from ZW$78.8 million as at 31 December 2019 to inflation-adjusted GPW of ZW$34.1 million as at 31 December 2020.

12.3 The nominal growth in GPW continued to be attributable to an increase in premiums in response to asset valuations.

Table 8: Breakdown of GPW for Reassurers

Company	GPW 2019 Q4 (ZW$000)	GPW 2020 Q4 (ZW$000)	2020 Q4 (Inflation adjusted ZW$000)	Real Growth after inflation adjustment	Nominal Growth (%)
Emeritus Re	48,262	94,544	21,057	-56%	96%
FBC Re	16499	30571	6,809	-59%	85%
FM Re	7424	14393	3,206	-57%	94%
Zep Re**	6655	13575	3,023	-55%	104%
Total	**78,840**	**153,083**	**34,094**	**-57%**	**94%**

13. Capitalisation.

13.1 As at 31 December 2020, all four (4) composite reassurers reported capital positions that were compliant with the minimum capital requirement of ZW$112.5 million.

13.2 The Commission reminds all sector players of the statutory requirements to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017.

13.3 Adequate capitalisation forms the bedrock of a safe and sound reassurance sector and thus the Commission will continuously monitor the capitalisation of the sector.

Table 9: Trend in the Capital Position for Composite Reassurers

Company	Dec 20 (ZW$000)	Sep - 20 (ZW$000)	Jun-20 (ZW$000)	Mar-20 (ZW$000)
Emeritus Re	266,064	75,899	57,225	90,491
FBC Re	485,496	416,623	387,769	133,066
FM Re	254,569	50,318	28,080	54,514
Zep Re**	709,387	12,473	14,649	241,852
Total	1,715,516	555,313	519,950	464,644

The capital positions above comprise of capital supporting both life and non-life reassurance business (Composite Reassurance Business).

14. Asset Quality

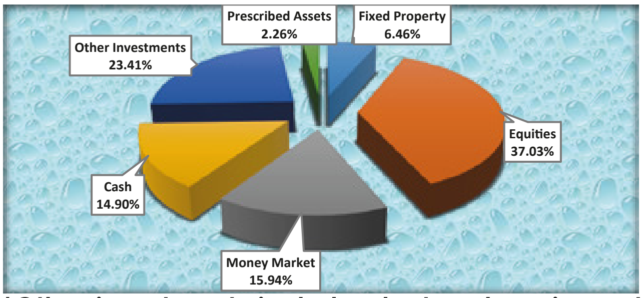
14.1 As at 31 December 2020, total assets for life reassurers sector amounted to ZW$1.3 billion, showing a 20% increase in nominal terms from ZW$1.08 billion reported as at 30 September 2020.

14.2 The growth in total assets was mainly due to an increase of ZW$585.7 million in equities and money markets instruments.

14.3 Equity investments and money markets constituted 53% of the total assets for the reassurance sector as at 31 December 2020. Cash constituted 15% of the total assets.

14.4 The Commission continues to encourage sector players to invest in value preserving assets so that they protect the underlying policyholder funds, which they guarantee.

Figure 8: Life Reassurers Total Assets



Other investments include plant and equipment, deferred tax asset, accounts receivables, deferred acquisition costs and unquoted shares.

Prescribed Assets

14.5 As at 31 December 2020, two (2) of the four (4) life reassurance players reported prescribed asset ratios that were compliant with the minimum required threshold of 15%.

14.6 Total investments in prescribed assets by the life reassurance sector amounted to ZW$42.6 million, translating to a compliance ratio of 3.28%.

Table 10: Prescribed assets ratios for sector players

Reinsurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Amount required to be compliant	Variance in compliance%
Emeritus Re	0	135,011	0.00%	20,252	-15%
FBC Re	0	1,066,383	0.00%	159,957	-15%
FM Re	13,593	62,084	21.89%	9,313	7%
Zep Re	29,005	33,819	85.77%	5,073	71%
Total/ Average	**42,598**	**1,297,297**	**3.28%**	**194,595**	**-11.7%**

Key

Compliant	
None Compliant	

15. Earnings

15.1 For the financial year ended 31 December 2020, the life reassurance sector`s nominal profit after tax increased by 1167% from ZW$12.5 million reported as at 31 December 2019 to the current ZW$158.3 million.

15.2 In real terms, profit after tax for the life reassurers increased by 182% to ZW$35.3 million as at 31 December 2020.

15.3 The increase in profit after tax is mainly attributable to significant increases in investment income.

15.4 For the financial year ended 31 December 2020, the life reassurance sector reported an average combined ratio of 118%, indicating an underwriting loss.

15.5 The Commission continues to encourage all the players to streamline their costs structures so that they improve on their combined ratio.

16. Liquidity

16.1 As at 31 December 2020, the life reassurance sector reported current assets amounting to ZW$641.3 million as compared to ZW$627.3 million reported as at 30 September 2020.

16.2 Current liabilities as at 31 December 2020 for the sector amounted to ZW$642.5 million translating to working capital of ZW$1.25million.

16.3 The life reassurance sector's average current ratio was 99% as at 31 December 2020. This shows that the industry's liquidity was not enough to cover short-term contractual obligations as they fall due.

16.4 The Commission urges the reassurance sector to hold enough current assets to cover its current liabilities.

17. Market Share

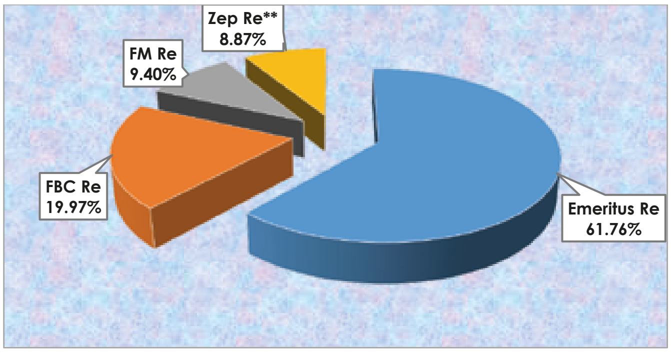
Market Share in terms of GPW

17.1 For the year ended 31 December 2020, GPW for the life reassurance sector mainly came from one player, controlling a market share of 62%.

17.2 The remaining three (3) players controlled the remaining 38% of the market share.

17.3 The breakdown of the market share of sector players in terms of GPW is shown in figure below.

Figure 9: Market Share by Gross premium written.

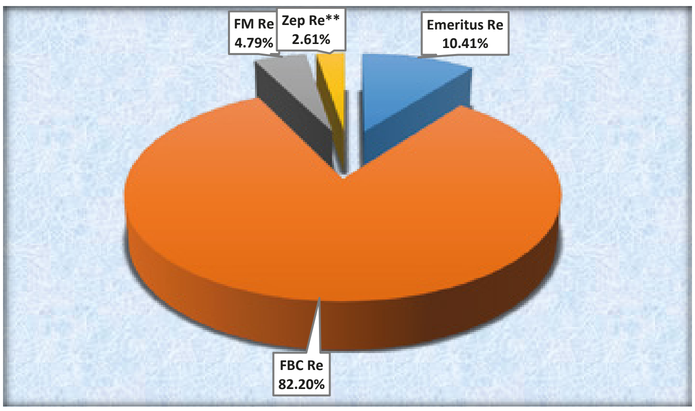


Market Share in terms of total assets

17.4 For the financial year ended 31 December 2020, only one (1) player (FBC Re) controlled 82% of the market share in terms of total assets, while the remaining 3 players controlled 18% of the sector total assets.

17.5 Breakdown of sector assets by players is shown in figure below.

Figure 10: Market Share distribution in terms of total assets



18. Life complaints handled

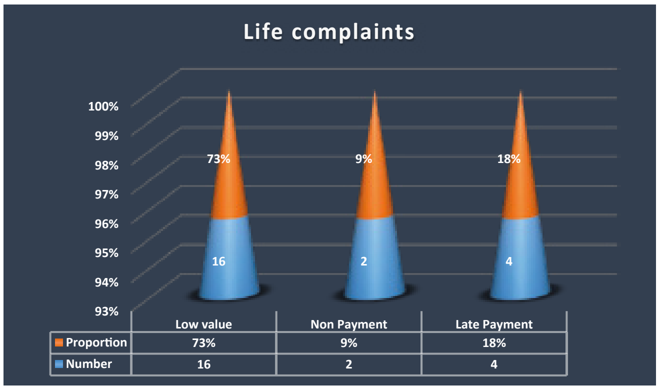
Life complaints handled

18.1 During the quarter under review, the Commission received 22 life assurance-related complaints, 15 of which were resolved whilst 7 were still under investigation.

18.2 The major source of complaints related to the amount received versus the anticipated amount.

18.3 The second source of complaints emanated from late payment of benefits while the other complaints related to non-payment of benefits, figure below depicts the nature of complaints handled

Figure 11: Life Assurance Complaints



18.4 The majority of complaints on low values related to the loss of value of life policies after the 2009 currency reforms. The Commission instituted a working group including industry representatives to work on the compensation framework in line with the recommendations of the Justice Smith-led Commission of Inquiry.

Annexures

Annexures

ANNEXURE 1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 31 DECEMBER 2020 (000)

	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage*	Nyaradzo	Old Mutual	ZB	Zimnat	Total Q4 2020
Gross Written Premiums	48,184	470,199	561,529	9,916	137,164	338,960	2,893	2,287	1,292,773	349,515	116,116	322,045	3,651,581
Reinsurance Premiums	2,129		14,812	4	14,661	-	95	33		25,274	10,336	20,187	87,531
Net Written Premiums	**46,055**	**470,199**	**546,717**	**9,912**	**122,503**	**338,960**	**2,798**	**2,254**	**1,292,773**	**324,241**	**105,780**	**301,858**	**3,564,050**
Increase/(Decrease) in UPR	2,536			36						18,455		180	21,207
Net Earned Premiums	**43,519**	**470,199**	**546,717**	**9,876**	**122,503**	**338,960**	**2,798**	**2,254**	**1,292,773**	**305,786**	**105,780**	**301,678**	**3,542,843**
Transfer to IBNR	3,627	47,020	34,060	5	-		1,685		388,446	896,528	-	1,284,405	2,655,776
Claims paid	8,260	84,067	232,821	2,244	23,502	84,381	678	116	435,700	96,980	283,300	81,280	1,333,329
Outstanding claims	437		6,442		-						(150)		6,729
Net claims	**12,324**	**131,087**	**273,323**	**2,249**	**23,502**	**84,381**	**2,363**	**116**	**824,146**	**993,508**	**283,150**	**1,365,685**	**3,995,834**
Net Commission Incurred	2,565	31,547	82	2,280		7,642	705	441	66,312	10,155		25,089	146,818
Technical Result	**28,630**	**307,565**	**273,312**	**5,347**	**99,001**	**246,937**	**(270)**	**1,697**	**402,315**	**(697,877)**	**(177,370)**	**(1,089,096)**	**(599,809)**
Operating Expenses	-	175,387					4,852		279,669	168,807	-	50,237	678,952
Underwriting Result	**28,630**	**132,178**	**273,312**	**5,347**	**99,001**	**246,937**	**(5,122)**	**1,697**	**122,646**	**(866,684)**	**(177,370)**	**(1,139,333)**	**(1,278,761)**
Management expenses	-							4,043	-				4,043
Investment Income	-											-	-
Unrealised Gains/Losses	314,103		441,178		1,194,462	848,110	59,890	3,539	218,029	6,467,853	534,609	1,513,051	11,594,824
Other expenses	108,082		270,340	4,529	26,676	(275,392)	4,552		43,486	211,880	1,174,852	154,381	1,723,386
Other Income	2,510	7,097	32,229		19,222	33,666	3,660	109	140,276	129,658	2,349,129	156,153	2,873,709
Profit Before Tax	**237,161**	**139,275**	**476,379**	**818**	**1,286,009**	**1,404,105**	**53,876**	**1,302**	**437,465**	**5,518,947**	**1,531,516**	**375,490**	**11,462,343**
Taxation	112		(113)			(14,504)			55,000		61,454	6,258	108,207
Profit After Tax	**237,049**	**139,275**	**476,492**	**818**	**1,286,009**	**1,418,609**	**53,876**	**1,302**	**382,465**	**5,518,947**	**1,470,062**	**369,232**	**11,354,136**
Transfer to policyholders funds													-
Dividends													-
Retained Income	**237,049**	**139,275**	**476,492**	**818**	**1,286,009**	**1,418,609**	**53,876**	**1,302**	**382,465**	**5,518,947**	**1,470,062**	**369,232**	**11,354,136**

ANNEXURE 2. STATEMENT OF FINACNIAL POSITION FOR LIFE ASSURERS AS AT 31 DECEMBER 2020 (000)

	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total Q4 2020
ASSETS													
Non-Current Assets													
Intangible assets			4,548	16	358						26,138	82	31,142
Property and equipment	105,829	36,225	34,786	3,537	277,210	16,869	893	28	2,238,849	109,607	5,881	6,709	2,836,423
Investment property	344,009	206,732	179,112	11,175	881,991	1,359,679	47,000	3,506	329,758	711,059	208,249	1,162,207	5,444,477
Investments and securities	57,247	5,933	463,530	25,881	2,681,835		30,202	792	59,634	8,295,655	452,072	973,225	13,046,006
Investment assets													-
Investments in Associated Companies						4,710,082						28,650	4,738,732
Other Non-Current Assets			244		6		12	5	179,508		2,479,469		2,659,244
Total Non-Current Assets	**507,085**	**248,890**	**682,220**	**40,609**	**3,841,400**	**6,086,630**	**78,107**	**4,331**	**2,807,749**	**9,116,321**	**3,171,809**	**2,170,873**	**28,756,024**
Technical Assets													-
Reinsurers' Share of O/S Claims				-									-
Deferred Acquisition Cost (DAC)	-	-											-
Total Technical Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Current Assets													
Cash & bank balances	5,836	75,075	51,804	267	60,031	43,950	612	154	340,000	166,323	(2,141)	24,459	766,370
Short term Investments		29		5			27,155		91,731	57,579		23,597	200,096
Other investments	5,324		93,521	70		23,294	335	150	-		5,942	4,827	133,463
Premium Receivables	1,476	706	1,513		4,938	28,509	34	5		37,995		5,293	80,469
Intercompany Investments	5,912	88,882	16,717			17,339	1,754						130,604
Other current assets	54	19,069	7,666	617	20,070	10,733		(530)	887,275	1,454,876	13,296	119,413	2,532,539
Total Current Assets	**18,602**	**183,761**	**171,221**	**959**	**85,039**	**123,825**	**29,890**	**(221)**	**1,319,006**	**1,716,773**	**17,097**	**177,589**	**3,843,541**
TOTAL ASSETS	**525,687**	**432,651**	**853,441**	**41,568**	**3,926,439**	**6,210,455**	**107,997**	**4,110**	**4,126,755**	**10,833,094**	**3,188,906**	**2,348,462**	**32,599,565**
Liabilities													
Deferred Tax Liabilities		2,171		7	-	25,587			163,612	168,879	58,136	7,217	425,609
Future policyholders benefits		59,534		370			61						59,965
Short term loans													-
Long term Loans		644			12,834				675			1,115	15,268
Current Tax provisions													-
Gross Outstanding Claims	1,269		6,442	36	15,986					42,139	20,620	43	86,535
IBNR	4,281		35,395	517			211			109,185			149,589
UPR	4,121	-	888	125			93			22,890		5,492	33,609
Creditors		2,353							479,987				482,340
Amount due to reinsurers			677								2,055		2,732
Other Liabilities	98,476	905	222,295	607	2,691,143	4,540,916	5,491	2,679	751,934	2,816,779	1,331,327	1,855,601	14,318,153
Total Liabilities	**108,147**	**65,607**	**265,697**	**1,662**	**2,719,963**	**4,566,503**	**5,856**	**2,679**	**1,396,208**	**3,159,872**	**1,412,138**	**1,869,468**	**15,573,800**
SHAREHOLDERS' EQUITY													
Share Capital		1,000	5,685		1,093	7	20	1,680	400	132	231	200	10,448
Share Premium	1,388			3,436	672	40,602	4,602			29,990	4,432	450	85,572
Revaluation & Other Reserves	101,774	3,701	39,354	3,787	276,506	2,014		245	2,265,163	33,764	82,963	2,478	2,811,749
Treasury shares					(10)								(10)
Prior years earnings	77,329	223,067	66,213	31,755	928,215	1,601,329	41,065	(1,796)	(21,863)	861,990	219,229	106,634	4,133,167
Current year retained	237,049	139,276	476,492	818	-		56,454	1,302	486,847	6,747,346	1,469,913	369,232	9,984,729
Minority interest													-
Shareholders's Equity	**417,540**	**367,044**	**587,744**	**39,796**	**1,206,476**	**1,643,952**	**102,141**	**1,431**	**2,730,547**	**7,673,222**	**1,776,768**	**478,994**	**17,025,655**
TOTAL EQUITY & LIABILITIES	**525,687**	**432,651**	**853,441**	**41,458**	**3,926,439**	**6,210,455**	**107,997**	**4,110**	**4,126,755**	**10,833,094**	**3,188,906**	**2,348,462**	**32,599,455**